Hi-Tech Pipes Ltd

Concall Tracker · Q2 2027 · first report, built without the Q2 FY27 transcript

1. Snapshot

Delhi-based steel processor that turns bought-in steel coil into ERW pipes, hollow sections, galvanised and coated pipes, cold-rolled coils, crash barriers and solar mounting tubes. It sells through more than 550 dealers and distributors and to project customers, and earns a thin spread per tonne, so volume and the share of higher-value products drive profit.

Number	Value	What it means
Market cap	Rs 1,558 cr	What the market values the whole company at (Screener, Nov 2026).
Revenue, FY26 (consolidated)	Rs 4,200 cr	Up 37% on FY25, helped by traded steel as well as its own pipes.
Sales volume, FY26	5.32 lakh tonnes	Up from 4.85 lakh tonnes in FY25, but short of the 6 lakh tonnes guided in May 2025.
EBITDA per tonne, FY26	About Rs 3,260	Operating profit per tonne was flat on the year, well short of the Rs 4,000 hoped for.
Q2 FY27 revenue (consolidated)	Rs 1,466 cr	Up 71% on a year ago; volume rose 32%, so revenue grew much faster than tonnes.
Q2 FY27 sales volume	1.65 lakh tonnes	Up from 1.25 lakh tonnes a year ago as the three new plants ramp up.
Q2 FY27 EBITDA per tonne	Rs 3,429	Slightly lower than Rs 3,540 a year ago, though better than Q1's Rs 3,162.
Q2 FY27 net profit	Rs 27 cr	Up 35% on a year ago.
Debt to equity, H1 FY27	0.23x	Low borrowing, up a little from 0.18x in FY26 because of working capital.
Promoter holding	43.4%	Down from about 56% in late 2023; promoters are now putting in Rs 90 cr through a preferential issue (May 2026 call).

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY25	26 May 2025	Yes (skimmed for guidance)
Q1 FY26	8 Aug 2025	Yes (skimmed for guidance)
Q2 FY26	Nov 2025	Yes (skimmed for guidance)
Q3 FY26	7 Feb 2026	Yes (skimmed for guidance)
Q4 FY26	28 May 2026	Yes, read in full
Q1 FY27	13 Aug 2026	Yes, read in full
Q2 FY27	6 Nov 2026 (call held)	No: transcript not filed yet

Six transcripts across about a year and a half. The Q2 FY27 call was held on 6 Nov 2026 and only the audio link was filed; the written transcript was not on Screener or BSE when this report was built (checked 11 Nov 2026). The Q2 FY27 section uses the press release, investor presentation and results filed on 5 Nov 2026 instead, read against what management said in May and August 2026.

Latest update highlights: Q2 FY27 (press release, presentation and results, 5 Nov 2026; no transcript yet)

- Volume rose 32% to 1.65 lakh tonnes and net profit 35% to Rs 27 cr. Volume beat the August guidance that Q2 would be similar to Q1 (1.56 lakh tonnes). H1 volume is 3.21 lakh tonnes against the full-year target of 6.5 to 7 lakh tonnes.

- Revenue rose 71% to Rs 1,466 cr, much faster than volume. The results show about Rs 290 cr of steel bought for resale (stock in trade) in the quarter, similar to Q1, although management said in August this low-margin trading would come down to Rs 50 to 100 cr.
- EBITDA per tonne was Rs 3,429, up from Q1 but below a year ago. Management's target is Rs 4,000 a tonne by the end of FY28.
- The presentation now puts the Direct Forming Technology (DFT) line at Sanand Unit-II Phase-3 in Q4 FY27; in May and August it was Q3 FY27. API-grade oil and gas pipe readiness is still Q4 FY27. The 2 million tonne capacity goal for FY29 is called 'firmly on track'.
- Net working capital days fell to 33 from 56 in FY26, while debt to equity rose to 0.23x from 0.18x.

Business mix & capacity

Domestic vs export: Mostly domestic. Exports started about one and a half years ago and management's long-term aim is about 10% of sales volume or revenue from overseas (Aug 2026); the current share was not given.

Capacity use: Installed capacity is about 1.05 million tonnes a year after Sanand Unit-II Phase-2, Kathua (J&K) and Sikandrabad Unit-III started. Management targets about 1.4 million tonnes operational by the end of FY27 and 2 million tonnes by FY29. FY27 volume guidance of 6.5 to 7 lakh tonnes implies a bit over 60% use of current capacity.

3. Earning Trigger thesis

The driver is capacity plus product mix. Hi-Tech took installed capacity to about one million tonnes in FY26, and volume is now growing around 30% a year as those plants fill. The next million tonnes, due by FY29, is aimed at higher-margin products: DFT pipes, API-grade oil and gas pipes, coated tubes and solar torque tubes, where management says EBITDA per tonne is Rs 4,500 to 6,000 against Rs 2,500 to 3,000 for plain pipes. The catch is that profit per tonne has stayed between about Rs 3,150 and 3,550 in every quarter discussed since mid-2025, while management kept saying Rs 4,000 was close.

Trigger	What management said	Evidence so far	Time horizon	Strength
New plants ramping up	FY27 volume 6.5 to 7 lakh tonnes; FY28 about 1 million tonnes (Aug 2026)	Q2 FY27 volume up 32%; H1 at 3.21 lakh tonnes	FY27 to FY28	Strong: tonnes are showing up
Value-added products (DFT, API, coated, solar)	VAP share 45 to 50% by FY28; EBITDA per tonne to Rs 4,000 by end FY28 (Aug 2026)	VAP 39% in H1 FY27; EBITDA per tonne Rs 3,429; DFT slipped to Q4 FY27	FY28	Weak to moderate: repeatedly promised, not yet visible
Data-centre hollow sections and exports	15,000 to 20,000 tonnes for data centres in FY27; exports to reach about 10% (Aug 2026)	Some data-centre orders received; export share not disclosed	FY27 to FY29	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt to equity rose to 0.23x; management said borrowing stays roughly flat (Aug 2026).
New business	Yes	Entering API-grade oil and gas pipes, readiness by Q4 FY27; data-centre hollow sections 'green shoots' (Aug 2026).
Margin up	No	EBITDA per tonne fell slightly year on year in Q2 FY27; gas prices and dealer rebates at new plants weighed (Aug 2026).
New management	No	No change mentioned.
New capacity	Yes	Sanand, Kathua and Sikandrabad started in FY26; DFT at Sanand (Q4 FY27), Hindupur coated-tube plant (Q4 FY27) and the 2 million tonne plan by FY29 (May, Aug, Nov 2026).
Big orders	No	No order book given; a 'strong order book in hand' was mentioned only in Nov 2025.

Trigger type	Yes/ No	What was said (date)
Turnaround	No	Profitable throughout.
Promoter buying	Yes	Preferential issue of Rs 90 cr to the promoter group, for working capital for the expansion (May 2026 call).

The single concrete driver: Three new pipe plants started in FY26 and are filling up, lifting volume by about a third, with DFT, API and Hindupur coated-tube lines due in Q4 FY27.

3c. Margin bridge

EBITDA per tonne in Q2 FY27 was Rs 3,429 against Rs 3,540 a year ago. In August management blamed gas prices that had more than doubled, higher freight, and extra dealer rebates to push volume from the three new plants, and said it will drop the extra rebates once the plants reach critical mass. Management treats it as temporary (one-off), but the Rs 4,000 level has not been reached in any quarter discussed since mid-2025.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2025	FY26 volume above 6 lakh tonnes; EBITDA per tonne about Rs 4,000	5.32 lakh tonnes; about Rs 3,260 a tonne. Guidance was cut to 5.5 to 6, then 5.5 lakh tonnes during the year	Missed
May 2025	1 million tonnes of capacity by FY26; Sikandrabad commercial production in Q2 FY26 (Aug 2025)	Capacity reached about 1.05 million tonnes, but Sikandrabad started only around Q4 FY26	Partly (late)
Feb 2026	EBITDA per tonne about Rs 4,000 from Q4 FY26 onward	Q4 FY26 about Rs 3,150; Q1 FY27 Rs 3,162; Q2 FY27 Rs 3,429	Missed
May and Aug 2026	DFT line by Q3 FY27	Now Q4 FY27 in the Nov 2026 presentation	Slipping
Aug 2026	Q2 volume similar to Q1; trading purchases down to Rs 50 to 100 cr	Volume 1.65 lakh tonnes (better); trading purchases still about Rs 290 cr	Partly
May and Aug 2026	FY27 volume 6.5 to 7 lakh tonnes	H1 at 3.21 lakh tonnes, management expects a stronger H2	Too-early

Narrative drift: The big picture has been steady: one million tonnes, then two million by FY29, with more value-added products. Capacity does get built, though usually a quarter or two late. The margin story is where it drifts: Rs 4,000 a tonne was promised for FY26, then from Q4 FY26, and is now pushed to the end of FY28. Small details also shift between calls (VAP near 50% by end FY27 in May, 45 to 50% in FY28 in August; API readiness Q3 or Q4). Tone stays confident.

5. Bottom line

Durable earning trigger? → YES

New capacity is concrete and already showing in volume, which rose about a third in Q2 FY27, and the next phase is funded and under construction. The weak part is profit per tonne: the higher-margin products that should lift it are still a quarter or more away.

Management consistent? → MAYBE

Capacity promises are mostly kept, if late. Margin and volume promises have been missed for over a year and the DFT date just slipped again. Promoters putting in fresh money is a point in their favour.

6. Checkpoints for next quarter

- DFT line at Sanand and API pipe facility start by Q4 FY27
- H2 volume keeps FY27 inside the 6.5 to 7 lakh tonne guide

- EBITDA per tonne moves above Rs 3,500 as trading purchases shrink

This is not investment advice. Do your own due diligence.